

26VECV01838 26VECV01838

County: los-angeles

Division: Civil Law and Motion

Department: U

Hearing date: 2026-07-29

Motion: DEFENDANT'S MOTION TO COMPEL ARBITRATION

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Case Number: 26VECV01838 Hearing Date: July 29, 2026 Dept: U

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES - NORTHWEST DISTRICT

POUYAN DADASH, an individual,

Plaintiff,

vs.

MERCEDES-BENZ USA, LLC; and DOES 1-100, inclusive,

Defendants.

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CASE NO: 26VECV01838

[TENTATIVE] ORDER RE: DEFENDANT'S MOTION TO COMPEL ARBITRATION

Dept. U

8:30 a.m.

July 29, 2026

BACKGROUND

This case is a lemon law action filed by Plaintiff Pouyan Dadash against Defendant Mercedes-Benz USA, LLC.

On February 8, 2024, Plaintiff leased a 2024 Mercedes-Benz Truck GLE63 AMG 4Matic S (the "Subject Vehicle") manufactured by Defendant pursuant to a motor vehicle lease agreement (the "MVLA"). The MVLA identifies Plaintiff as the Subject Vehicle's lessee and Keyes European as the lessor. (Chan decl., Exh. 1, p. 1.)

Plaintiff pleads that defects and non-conformities to warranty manifested in the Subject Vehicle during the applicable warranty period. Plaintiff pleads he delivered the Subject Vehicle for repairs, but Defendant was unable to conform the Subject Vehicle to the applicable warranty after a reasonable number of repair attempts. (Complaint, ¶¶ 9-16.)

On March 27, 2026, Plaintiff filed his complaint against Defendant.

On April 30, 2026, Defendant filed its motion to compel Plaintiff to arbitrate his dispute with Defendant and requested that the Court stay the proceedings in this case. Defendant asserts that Plaintiff leased the Subject Vehicle subject to the terms of an arbitration provision contained in the MVLA.

On July 16, 2026, Plaintiff filed his opposition brief.

On July 22, 2026, Defendant filed its reply brief.

LEGAL STANDARD

Parties may be compelled to arbitrate a dispute upon the court finding that: (1) there was a valid agreement to arbitrate between the parties; and (2) said agreement covers the controversy or controversies in the parties' dispute. *Code Civ. Proc.*, § 1281.2; *Omar v. Ralphs Grocery Co.* (2004) 118 Cal.App.4th 955, 961.

DISCUSSION

Defendant moves to compel arbitration. The motion is granted.

Defendant asserts Plaintiff is bound to arbitrate his dispute with Defendant because there is an agreement to arbitrate contained in the MVLA which designates Defendant as a third-party beneficiary.

The MVLA signed by the parties on February 8, 2024, contains an arbitration provision that reads, in pertinent part, as follows:

"Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a 'Third-Party Beneficiary'), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third-Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action." (Chan decl., Exh. 1, p. 4.)

The MVLA states that Defendant shall be allowed to enforce the arbitration provision as a third-party beneficiary and expressly designates Defendant as such.

A defendant may be able to enforce an arbitration agreement to which it is not a signatory if it qualifies as a third-party beneficiary. See *Mance v. Mercedes-Benz USA* (N.D.Cal. 2012) 901 F.Supp.2d 1147, 1155. The elements necessary to establish a third-party beneficiary relationship are (1) the third party would in fact benefit from the contract; (2) a motivating purpose of the contracting parties was to provide a benefit to the third party; and (3) permitting the third party to enforce the contract is consistent with the objectives of the contract and the reasonable expectations of the contracting parties. *Goonewardene v. ADP, LLC* (2019) 6 Cal.5th 817, 830. "Whether the third party is an intended beneficiary or merely an incidental beneficiary involves construction of the intention of the parties, gathered from reading the contract as a whole in light of the circumstances under which it was entered." *Cione v. Foresters Equity Servs.* (1997) 58 Cal.App.4th 625, 636, quoting *Eastern Aviation Group, Inc. v. Airborne Express, Inc.* (1992) 6 Cal.App.4th 1448, 1452.

Here, the terms of the MVLA executed by Plaintiff and Keyes European expressly designate Defendant, the Subject Vehicle's manufacturer/distributor, as an intended third-party beneficiary. Defendant stood to benefit from the MVLA by way of its receipt of indirect profits. Plaintiff asserts, "Reading the arbitration provision consistently with the lease as a whole means that MBUSA may invoke it only with respect to disputes arising from the lease relationship—not disputes arising solely from its independent warranty obligations." (Opposition, p. 5:20-23.) The Court disagrees.

The fact that the MVLA's arbitration provision specifically states that Defendant shall be entitled to enforce said arbitration agreement is sufficient to show that the parties intended Defendant to be a third-party beneficiary and that the agreement was intended to extend to Defendant's warranty obligations. Plaintiff's own cited authorities support this conclusion. See, e.g., *Civ. Code*, § 1639 ("When a contract is reduced to writing, the intention of the parties is to be ascertained from the writing alone, if possible"). Here, the subject provision is broadly stated to include "[a]ny claim or dispute, whether in contract, tort or otherwise" between Plaintiff and Defendant. Such a broadly stated arbitration provision plainly encompasses Plaintiff's warranty claims. Defendant's argument that such a broadly stated provision applies narrowly to disputes directly related to

the lease relationship is without merit.

Plaintiff argues the motion should be denied based on the holding in Ford Motor Warranty Cases (2025) 17 Cal.5th 1122 because Defendant is not a signatory to the MVLA. Plaintiff's reliance on Ford Motor Warranty Cases is misplaced. There, the Supreme Court declined to permit a manufacturer to compel arbitration under principles of estoppel where the arbitration agreement contained no language authorizing enforcement by a third party in the defendant's position. This case is distinguishable from Ford Motor Warranty Cases in that the MVLA specifically extends arbitration rights to Defendant. Because Defendant is named as an intended third-party beneficiary in the MVLA, the reasoning in Ford Motor Warranty Cases does not apply. Defendant may enforce the arbitration provision.

The motion is granted.

CONCLUSION

Defendant Mercedes-Benz USA, LLC's motion for an order compelling Plaintiff Pouyan Dadash to arbitrate his complaint against Defendant Mercedes-Benz USA, LLC is GRANTED. This action is hereby STAYED pending a resolution of arbitration. See Code Civ. Proc., § 1281.4.

Defendant Mercedes-Benz USA, LLC is ORDERED to give notice.

DATED: July 29, 2026

Lee Arian

Judge of the Superior Court